

Lance Roberts: Will 2026 Be The Year Stocks Revert To The Mean?

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Speaker Bio

Lance Roberts is Chief Investment Strategist at RIA Advisors and editor of Real Investment Advice. 20+ years managing money for high-net-worth clients with a value/risk-management discipline. Known for valuation-focused macro analysis and disciplined rebalancing approach. Host of the annual RIA Economic Summit.

Executive Summary

Lance's core message: **mean reversion is the most powerful force in investing**, and US stocks are now 2+ standard deviations above long-term averages after three consecutive 20%+ years. His valuation range for 2026: **8,100 upside (multiple expansion continues) to 4,600 downside (recession + mean reversion)**—that's a 75% spread. The problem isn't identifying the risk; it's that we don't know the catalyst or timing. The wood is soaked in gasoline, but no one knows when or if the match will be thrown.

The practical implication: **don't de-risk preemptively based on valuation alone**. Lance still owns Nvidia, Google, Amazon—but is adding defensive positioning and will “cut exposure aggressively” when technicals break down. His near-term move: reduce equity weight from 65% to 55-57% (target weight or slightly below) because 8 consecutive months of positive returns is “long in the tooth.” On silver, he trimmed to target weight before the 15% correction—not because he's bearish, but because **managing deviations from means is how you survive long-term**.

PM implication: The unsexy stuff wins. Position sizing, rebalancing to targets, taking profits on deviations—this is how you compound through volatility. Don't sell everything on valuation concerns, but don't ignore them either. Be ready to cut when technicals confirm the turn.

Key Quotes

1. *“When you look at returns over the last 15 years, we're running returns 50% above the average return of the market since 1900. You can't sustain that forever, particularly when the economy is growing at 2%.”*
2. *“Reversions to the mean is the most powerful force in investing. Watch the mean because that mean average is where price is going to revert to at some point. It's just a function of time.”*
3. *“The thing that causes the market to correct is not anything you're talking about with any of your guests right now. If somebody knows about it and has talked about it, it's already priced in.”*
4. *“I take a bunch of wood, make a big pile in my backyard, pour gasoline all over it—nothing happens until a catalyst. Somebody throws a match, gets struck by lightning. That's the whole point about the market.”*
5. *“Markets are going to crash by 50% or more. 100% guarantee. But it could be 10 years from now.”*
6. *“Full-time employment relative to working age population is falling pretty quickly. That only happens during recessionary environments.”*
7. *“The cure for high prices is high prices. You're going to attract supply to the market in some form or the other.”*

8. *"Most people buy stuff here, it goes up, they never sell it, it crashes back to where it was or lower, then they sell at a loss. That's what happens to most people."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Cautious-Bullish (still long, adding defense)
Conviction	Medium
Time Horizon	Tactical (1-3m)
Primary Domain(s)	Equities Valuations Employment Precious Metals
Why Now?	3-year return streak at 2 std dev; 8 months consecutive gains; employment deteriorating

Top 3 Investable Ideas:

- Reduce equity overweight to target** — Cut from 65% to 55-57%; don't wait for breakdown to start trimming
- Trim silver/precious metals to target weight** — After big run, lock in gains before CME margin hikes force selling
- Add defensive positioning** — Keep growth names but layer in defense; be ready to cut aggressively on technical breakdown

2) Key Investable Insights

Insight 1: Valuation Range 8,100 to 4,600

- Claim:** S&P range for 2026 depends entirely on multiple expansion vs contraction
- Asset Class:** US Equities (S&P 500)
- Mechanism:** Multiple expansion → 8,100; maintain multiples → 7,300 (+4%); mild contraction to 22x → 6,200; recession to 17-18x → 5,080
- Expression:** Stay long but don't add risk; prepare playbooks for each scenario
- Trigger to Exit/Flip:** Technical breakdown confirms which scenario is playing out
- Confidence:** High (range), Low (specific outcome)

Insight 2: Employment Is the Key Risk

- Claim:** Full-time employment as % of working age population falling—only happens in recessions
- Asset Class:** Macro / Labor Market
- Mechanism:** If full-time jobs continue declining → consumer spending falls → earnings miss → valuations contract
- Expression:** Underweight consumer discretionary; watch jobs data closely
- Trigger to Exit/Flip:** Full-time employment stabilizes or ticks up
- Confidence:** High

Insight 3: Silver Deviation = Profit-Taking Signal

- Claim:** Silver's spike above long-term mean + CME margin hikes = time to trim, not add
- Asset Class:** Precious Metals (Silver)
- Mechanism:** CME hikes margins to maintain delivery stability; high prices attract supply (grandma's silverware); economic input costs matter
- Expression:** SELL silver to target weight on spikes; don't chase
- Trigger to Exit/Flip:** Price returns to \$25-35 range (economically viable level)
- Confidence:** High

Insight 4: Bonds Below 4% If No Recession

- **Claim:** 10Y yields to 3.5-3.75% assuming 2% growth, 2% inflation
- **Asset Class:** US Treasuries
- **Mechanism:** Inflation + growth + small premium = fair value around 3.75%
- **Expression:** Own duration; yields have room to fall
- **Trigger to Exit/Flip:** Inflation reaccelerates or growth surprises to upside (4%+ GDP)
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Multiple contraction	S&P down 15-30%	Credit spreads widen	Bond-equity correlation flips	Carry trades unwind	Retail capitulation late
Employment deterioration	Consumer spending falls	Earnings miss estimates	Labor-inflation correlation	N/A	Defensive rotation
CME margin hikes (silver)	Leveraged longs forced out	Physical premium compression	Gold-silver ratio widens	Futures roll cost spikes	Retail exits before institutions
Fed rate path	Front-end rallies if cuts > priced	Duration outperforms	Yield curve shape shifts	Steeptenors work	Consensus long duration

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle with extreme valuations. Consumer struggling, employment weakening, but no recession trigger yet. AI capex providing support.
- **Base Case (50%):** Sideways-to-down year. Returns 0-8%, well below 3-year average. Volatility picks up. Mean reversion begins but doesn't complete.
- **Alt Case 1 (25%):** Multiple expansion continues. S&P to 8,000+. Requires strong earnings growth from bottom 493 stocks (historically unlikely).
- **Alt Case 2 (20%):** Recession. S&P to 5,000-5,500. Valuations compress to 17-18x. Full-time employment decline accelerates.
- **Alt Case 3 (5%):** Crash (50%+). Black swan catalyst. Timeline unknown—could be 2026 or 2030.
- **Anti-Thesis Trigger:** Strong jobs data, bottom 493 earnings growth materializes, AI productivity boom accelerates GDP
- **Tail Risks:** Unexpected catalyst (tariff shock, geopolitical, bank failure); government shutdown; midterm political turmoil

5) Hard Data & Verifiable Claims

- **Data:** 15-year returns 50% above 125-year average
- **Data:** 3-year returns at 2 standard deviations above mean
- **Data:** 8 consecutive months of positive returns (long stretch)
- **Data:** S&P at ~25x reported earnings; long-term mean 17-18x
- **Data:** Full-time employment as % of working age population declining
- **Data:** Silver down 15% from recent highs after CME margin hikes
- **Data:** Bottom 493 stocks expected to grow earnings 12% (haven't done that in 5 years)
- **Data:** European GDP growth ~1%; US ~2%
- **Claim:** RIA flagship model normally 60/40; currently 65% equity (overweight)
- **Claim:** No budget passed since Obama administration—continuing resolutions auto-increase spending 8%/year

6) BS & Bias Filter

- **Incentives:** Lance manages client money at RIA Advisors; long equities and precious metals
 - **Blind Spots:** Very US-centric; limited international equity discussion; conservative/value bias may cause early de-risking
 - **Track Record:** Called for “Curb Your Enthusiasm” at start of 2025—market still rallied 20%+; admits valuation calls have poor short-term timing
 - **Consensus Check:** Valuation concerns widely shared; contrarian on timing (doesn’t sell preemptively)
 - **Sample Bias:** Focus on long-term mean reversion; may underweight regime change scenarios
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7) PM Bottom Line

Action → Position / Hedge

Don’t fight the tape, but don’t ignore the deviation. Lance’s playbook: stay long growth names (Nvidia, Google, Amazon), but reduce equity overweight to target or slightly below. Take profits on precious metals when they deviate from means. The crash is coming—100% guaranteed—but timing is unknowable. Manage risk through rebalancing, not market timing. When technicals break down, cut aggressively. Until then, let winners run but don’t add to extreme positions.

Key watches: Full-time employment data, earnings from bottom 493 stocks, 10Y yield trajectory, S&P technical breakdown below support, CME margin actions on silver/gold.

Bonus: Fraud/Fiscal Commentary

Lance and Adam spent significant time on Minnesota daycare fraud scandal and broader government waste. Key points: - Estimated \$9B fraud in Minnesota alone; potentially much larger nationally - Doge’s legacy: infected system with accountability demands - Lance’s view: eliminate subsidies entirely; they create fraud + inflate prices - Core issue: no budget = no accountability; continuing resolutions auto-increase 8%/year - Political implication: midterms depend on economic sentiment, not stock market performance